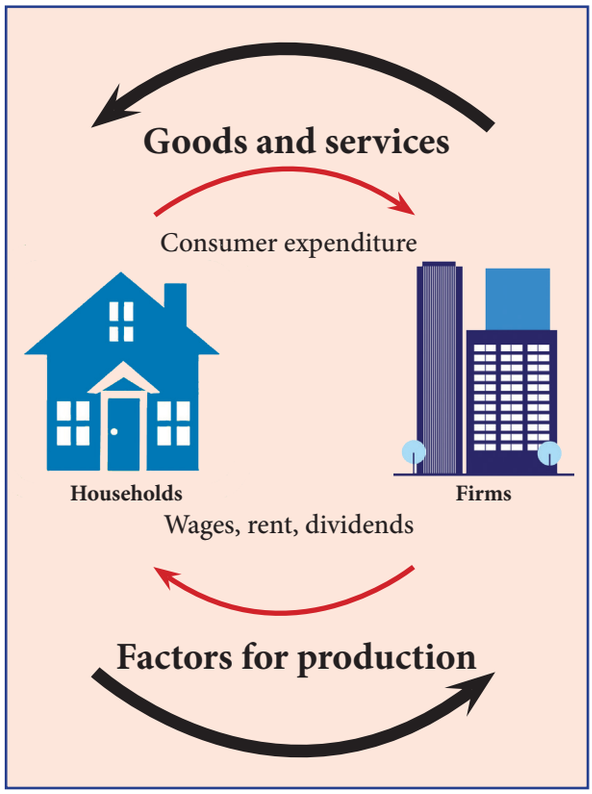


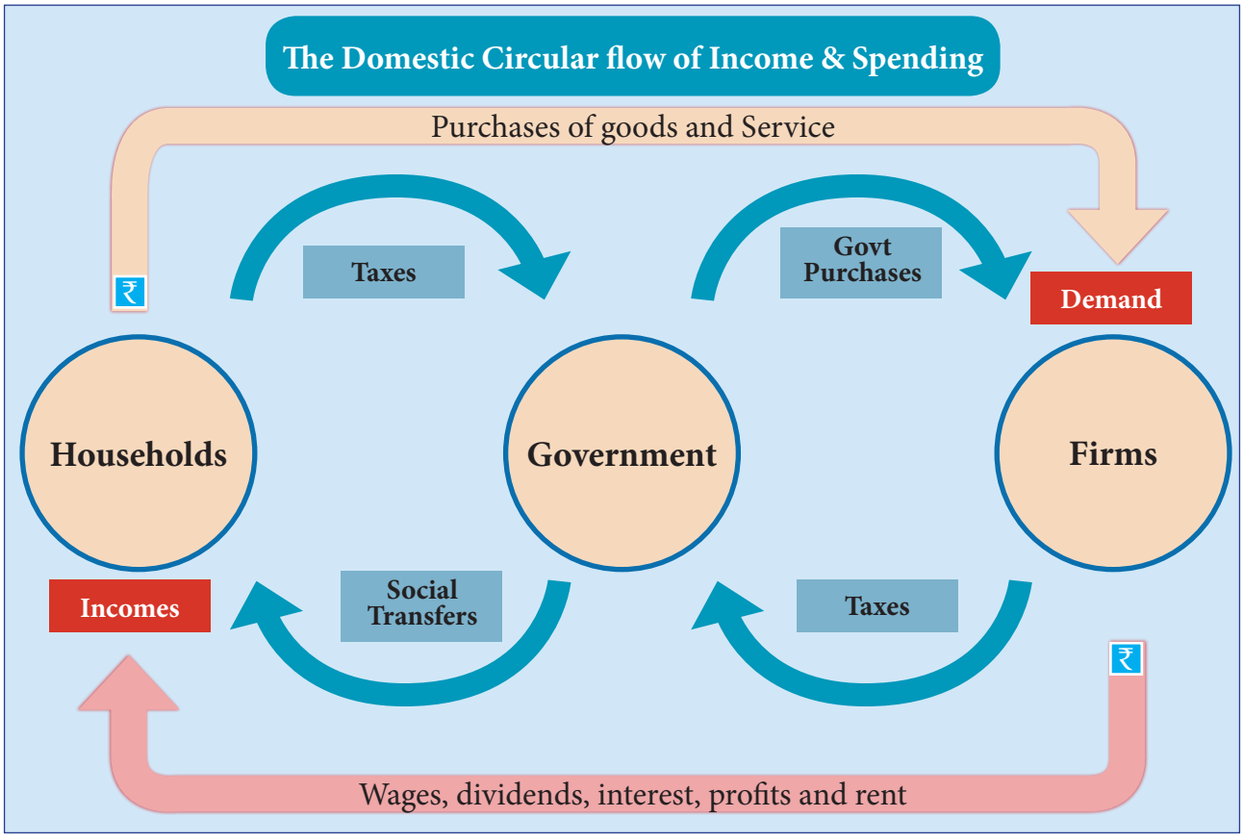
In a two-sector economy, production and sales are equal and there will be a circular flow of income and goods. The outer circle represents real flow (factors and goods) and the inner circle represents the monetary flow (factor prices and commodity prices). Real flow indicates the factor services flow from household sector to the business sector, and in turn goods and services flow from business sector to the household. The basic identities of the two-sector economy are as under:

$$Y = C + I$$

Where

Y is Income; C is Consumption; I is investment

1.9.2. Circular Flow of Income in a Three-Sector Economy:



In addition to household and firms, inclusion of the government sector makes this model a three-sector model. The government levies taxes on households and firms,

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